MONEY
&
BANKING

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MONEY: MEANING AND FUNCTIONS

Money is regarded any object which is generally accepted as:

- **medium of exchange**
- **unit of account**
- **standard of deferred payment**
- **store of value**
- **transfer of value.**

Primary Functions

- As medium of exchange, money is used as a means of payment. As money has ready purchasing power, it facilitates in transacting exchange of goods and services with minimum effort and time.

- As unit of account, money is treated as common measure of value. Value of all goods and services in exchange can be expressed in terms of money. Such expression gives rise to price system in which money act as a means of calculating the relative prices of goods and services.

Secondary Functions:

- As standard of deferred payment, money can be used in the settlement of debt and future payments. Loans are advanced and future contracts are settled in terms of money.

- As store of value, money is hold as an asset in liquid (or cash balance) to use anytime in future. This is because money has purchasing power which holds commands over goods and services all time – at present and in future. However use of money as store of value is not without drawbacks. Changes in general price level causes rise and fall in the value of money. When price level rises, value of money falls and vice versa.

- As transfer of value, sale and purchase of movable and immovable assets, paper wealth and physical wealth can be made with the help of money. Thus, value available with a person in the form of asset can be transferred from one person to another with the use of money.

FORMS OF MONEY IN MODERN TIMES

In modern monetary transactions, **In modern era, the total stock of money or money supply includes the following:**

- Metallic money or currency coins : **Metallic money refers to the coins made out of metal like gold, bronze, silver, copper, nickel. Coins are of two types such as: Standard or Full-bodied Coins and Token coins.**

  - **Standard or Full-bodied Coins are those coins whose face value is equal to its intrinsic (metallic) value.**

  - **Token coins have intrinsic (metallic) value less than its face value. They generally are of lower denominations are made of cheap metals like nickel and copper. Token coins are used for exchange of small value.**

- Paper money or paper currency : **Paper money consists of currency notes issued by the State Treasury or the Central bank of the country.**

- **Credit or bank money: Bank demand deposits withdraw-able by issuing cheque has started functioning as money, and cheque are conventionally accepted as a means of payment by the business community in general.**

LEGAL TENDER AND CONVENTIONAL MONEY

In modern era, currency money and bank money together constitute the total stock of money or money supply.

- **Currency money (both currency coins and currency notes) is legal tender money or fiat money and has general acceptability.**

- **Credit money or bank demand deposits are conventional money and lacks general acceptability.**

FUNCTIONS OF COMMERCIAL BANKS

A commercial bank or simply a bank is a financial institution which deals with money, accepts deposits, advances loans, and create credits with the sole purpose of earning profits. Modern banks performs a wide variety of functions. The important functions of the commercial banks are as follows.

- **Acceptance of Deposits: Commercial bank borrows by accepting deposits from the public. These deposits are broadly classified as time deposits and demand deposits.**

  - **Demand Deposits: Demand Deposits are repayable by the bank on demand or may be withdrawn by the depositors at any time without previous notice to bank through issue of cheque or other forms. It includes savings deposits (interest bearing) and current account deposits (non-interest bearing) .**

  - **Time/term Deposits: These are deposits repayable after a certain fixed time period varying from seven days to ten years or more. These deposits are not withdrawn able by cheque, draft or by other means. It includes fixed deposits, recurring deposits, certificate of deposits.**

- **Advancing of Loans: The commercial banks provide loans and advances to the public in various forms. These includes overdraft, cash credit, discounting of bills, loans and advances, consumer loans etc.**

- ***Credit Creation :*** **Credit creation is the multiple expansions of bank demand deposits. When a bank advances a loan to its borrower , it does not lend cash buts open a demand deposit account in the name of the borrower and credits the loan amount to his account. The bank allows the borrower to draw upon the bank as and when required though cheque. Thus whenever a bank grants a loan, it creates an equal amount bank deposits. Creation of such derivative demand deposits is called credit creation which results in net increase in the money stock of the economy. Banks have the ability to create many times more than their deposits. The ability of bank to create credit is limited by cash-reserve requirements.**

❖**Agency Functions: Commercial banks also performs agency functions on behalf of the customers/clients which includes**

- **Collection of cheques, dividends, and interests on behalf of the customers**
- **Payment of rent, insurance premiums on behalf of the customers**
- **Dealing in foreign exchange**
- **Purchase and sale of securities on behalf of the customers**
- **Act as correspondent of their customer**
- **Preparations of Income-Tax returns for their customers**
- **Act as trustee, executor, attorney etc**

- **General Utility Services: Banks also performs certain general utility services which yields non-interest income to the banks. Such services includes:**

  - Safety locker facility
  - Money Transfer
  - Travelers' cheques
  - Gift cheques
  - ATM facilities
  - Credit card
  - Debit card
  - Accepting bills
  - Internet banking
  - Letters of credit
  - Merchant Banking
  - Bancassurance

CRR, SLR, LRR

CASH RESERVE RATIO (CRR):

Cash Reserve Ratio (CRR) is the minimum fraction of the total deposits of customers which commercial banks have to hold as reserves either in cash or as deposits with the central bank. The cash reserve ratio is fixed by the Central Bank as a tool in monetary policy in influencing the volume of credit that can be created by the banking system of a country.

STATUTORY LIQUIDITY RATIO (SLR):

Statutory liquidity ratio (SLR) refers portion of deposits that the commercial banks are required to maintain in the form of liquid asset such as gold or govt. approved securities (bonds, shares) . Statutory Liquidity Ratio is determined and maintained central bank of a country in order to control the expansion of bank credit.

LEGAL RESERVE RATIO (LRR) : Legal Reserve Ratio comprises of both CRR and SLR. While the aim of CRR is immediate liquidity needs, the objective of SLR is two fold : to provide profitability with liquidity.

	Credit Creation By Commercial Banks		
Banks	Primary Deposits (Rupees in Crores)	Cash Reserve (Cash Reserve Ratio = 20 per cent)	Credit Creation /Derivative Demand Deposits
A	1000	200	800
B	800	160	640
C	640	128	512
D	512	104	408
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Total	5000	1000	4000

Derivation of Credit Multiplier

can create credit (ΔD) can be written as

$\Delta D = \Delta R\ [1 + (1-r)^2 + (1-r)^3 + (1-r)^4 + \ldots\ldots\ldots\ldots]$

or, $\Delta D = (\Delta R)\ 1/r$

Where 'r' stands for Reserve Ratio

ΔR stands for initial excess reserve

ΔD stands derivative demand deposits

The extent to which the banking system

Derivation of Credit Multiplier: Illustration

- r = 20 percent = 0.2
- Primary deposits = Rs 1000 crores
- Initial excess reserves = ΔR = 80 percent of Rs 1000 crores
- Derivative demand deposits (=credit creation by banking system) = ΔD = 800 x (1/ 0.2) = Rs 4000 crores

FUNCTIONS OF CENTRAL BANK WITH SPECIAL REFERENCE TO RESERVE BANK OF INDIA

The Central Bank (The Reserve Bank of India in India) is the highest monetary authority of a country. It acts as the regulatory authority of a country's banking system, and is the sole provider and printer of notes and coins in circulation. It also formulates monetary and credit policy of a country. The Central bank of a country perms the following functions:

- **Monopoly of Note-Issue: The central bank has the sole monopoly of note issue in almost every country. It mints currency coins and prints currency notes. In India, the Reserve Bank of India It has the sole right to issue currency notes of all denominations except one-rupee notes. One-rupee notes had been issued by the Ministry of Finance of the Government of India.**

- **Banker, Agent & Adviser to the Government: The central bank acts as the banker, agent and adviser to Government of India. As banker to the government, central bank provides all those services and facilities to the government which public gets from the commercial banks. In India, RBI maintains and operates government deposits, advises the government on all financial matters etc. As agent, it manages government funds, raises loans from the public on behalf of the government, looks after the management of public debt etc.**

- **Banker's Bank: Central bank is the bank of banks. It is the custodian of cash reserves of commercial banks. It gives them advice on financial and economic matters and regulate banking activities such relating to licensing of banks and their branch expansion; management and methods of working of the banks; amalgamation, acquisition of banks etc.**

- **Lender of Last Resort:** Central bank provides security to their cash reserves, gives them loan and accommodation at the times of emergency and thus act as the lender of the last resort. The Reserve Bank provide financial assistance to the scheduled banks by rediscounting their eligible bill, and through loans and advances against approved securities.

- **Credit Control:** The central bank of the country regulates bank credit and thus money supply in economy in order to ensure internal price stability and promote economic growth and thus, avoids inflationary and deflationary tendencies in the country. The monetary authority use of various quantitative (such as bank rate, open market operation, cash reserve ratio, statutory liquidity ratio repo and reverse repo) and qualitative techniques (such as margin requirements, moral suasion, appeal etc) to effectively control and regulate credit in the country.

- **Custodian of Country's Reserves of Foreign Currencies:** Central bank is the custodian of the foreign currency obtained from various countries. It maintains and stabilizes the external value of the domestic currency , and thus administers exchange controls and other restrictions imposed by the government, and manages the foreign exchange reserves

Clearing House Function

All the commercial banks have their accounts with the central bank. Therefore, central bank settles the mutual transactions of banks and thus saves all banks contacting each other individually for setting their individual transactions, and claims. In this way; the unnecessary cash transactions between individual banks are avoided.

Other Functions

Besides the traditional central banking functions, Central Bank (RBI)also performs a variety of promotional and developmental functions.

- It collects and publishes statistical information relating to banking, finance, credit, currency, agricultural and industrial production, etc.
- It also publishes the results of various studies and review of economic situation of the country in its monthly bulletins and periodicals.

- **Publicity:** Under this method, the Central Bank gives wide publicity to its credit policy through its bulletins. By this, the Central Bank educates the general public regarding the monetary policy and its objectives. The commercial banks are guided as well.

- **Direct Action: The** Central Bank uses direct action act against the banks which does not comply with its instructions. No commercial bank can afford to go against the wishes of the central bank with regard to policy matters, as the central bank has wide powers even to stop banks' operations.

The Reserve Bank of India (RBI) categorizes money supply into four broad measures: M1, M2, M3, and M4. These monetary aggregates are used to track the total money circulating in the Indian economy. Here's a breakdown of each category:

•**M0 (Monetary Base or High-Powered Money):** This includes currency in circulation (coins and paper money) and commercial banks' reserves held with the RBI. It represents the total liability of the RBI.

M1 (Narrow Money): This includes M0 plus demand deposits (checking accounts) held by the public in commercial banks, along with other deposits with the RBI.

M2: This aggregates M1 with savings deposits held in post offices.

•**M3 (Broad Money):** This includes M2 and time deposits (fixed deposits) held by the public in commercial banks

•**M4:**This includes M3 plus total deposits with post offices, including time deposits.

RBI	As on Aug. 29, 2014 Ratios and Rate (in percent)
Cash Reserve Ratio	4.00
Statutory Liquidity Ratio	22.00
Repo Rate	8.00
Reverse Repo Rate	7.00
Bank Rate	9.00